



investment... It's not often that an investor comes in as a Series A investor and then stays on for a Series F/H round.

**Q:** Speaking of funding Peyush, what's the future looking like? The kind of ambitions you seem to have, do you still need a lot of PE capital going forward? I ask because this digital valuation game is under a cloud; could that crimp your growth in any meaningful way?

**A:** So, at Lenskart, we haven't been burning significant cash for almost two and a half, three years now. Because of Covid-19, we had some losses, but this coming year the company will be profitable. It has been profitable for many quarters over the past two years. So no, we no longer need an enormous amount of capital to grow the business. We have been running on good unit economics with a clear path to profitability.

In terms of the money that has been raised at Lens-

kart, which the media reports about, is a lot of secondary [fundraising]. We've probably done more secondaries than primary in the company, and while we have raised capital lately, those are for investments in the long term when it comes to building supply chain and technology, because eyewear is a complex category, and our dream is really big. We want to give glasses to 50 per cent of the people in India. For that, we need to invest in infrastructure. But as a company, we don't burn operating capital as much.

**Q:** It's interesting to learn that you've been profitable for much of the last year because there is an impression that Lenskart is growing very fast on the top line but in trying to grow the market and expand its footprint, it is keeping price points too low and sacrificing margins. So, tell us what your profitability ratios are like and if it is a fallacy that you're not profitability oriented?

**A:** Look, we have a sound business model. The unit economics are good. The business is on the path to becoming decently profitable but perceptions are perceptions. On whether we sell eyewear cheap, it is people who can afford a lot, who make that comment. If you ask me frankly, 40 per cent of our customers still find us expensive. We still have a long way to go in terms of open-

ing more price points, and even lower price points. We essentially want to be the Maruti of eyewear in India. From that perspective, I would say that over the last four years we have grown only on volume and not by constantly increasing the average ticket size as some of our peers may have. But at the same time, we have done that on the back of a very strong supply chain and maintained margins. That's a fact, though I can't fight perceptions.

**Q:** How fast are you growing, Peyush? Give me a sense of Lenskart's growth relative to the eyewear market per se.

**A:** We grew about 60 per cent-plus last year, and are on track to deliver another 50 per cent-plus growth in FY23. I think the eyewear market in India would be growing just north of 20 per cent. The segment is so unorganised that it's difficult to put accurate estimates on these numbers. But, I would say about 20-30 per cent growth is where the market is because we see about 30 per cent customers who are first-time wear-